LS Electric (010120 KS)

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Earnings surprise likely

3Q26 preview: OP likely to beat consensus

We forecast 3Q26 revenue at W1.7378tn (+42.9% YoY, +10.2% QoQ), OP at W207.8bn (+106.2% YoY, +16.4% QoQ), and OPM at 12.0%. OP is expected to beat consensus. Power infrastructure backlog is converting into revenue at a faster pace, led by switchgear and ultra-high-voltage (UHV) transformers, while the growing share of data center sales is improving the product mix. With forex exposure also limited relative to peers, we expect both revenue growth and margin improvement in 3Q26. The relatively short lead times for switchgear allow rising new orders to translate quickly into a stronger earnings outlook for next year, providing another differentiating factor.

2027 forecast: at the heart of power distribution within data centers

We forecast 2027 revenue at W8.5563tn (+29.4% YoY), OP at W1.1555tn (+56.2% YoY), and OPM at 13.5%. Power infrastructure revenue is likely to reach W4.51tn, with switchgear and UHV transformers driving growth. Orders linked to data centers and power generation, including those from Bloom Energy, are rapidly converting into revenue, while expanded production capacity in Utah will strengthen the company's ability to serve the US market. LS Electric is also working with LG U+ on joint validation of 800VDC power infrastructure for NVIDIA's next-generation AI platform, Vera Rubin. Alongside joint development of solid-state transformers (SSTs) and solid-state circuit breakers (SSCBs) with Infineon, this represents a mid- to long-term growth driver, as the company expands its offering from conventional AC distribution to next-generation DC power systems.

We maintain BUY and our target price of W300,000. We select LS Electric our top pick, given its rapid conversion of orders into earnings and the clear growth path from data center power distribution to next-generation DC systems.

BUY (M)

Target price	W300,000 (M)
Previous target price	W300,000
Current price (Oct 06)	W217,500
Upside potential	38%

Market cap (Wbn)	32,625
Shares outstanding	150,000,000
Avg daily T/O (2M, Wbn)	127
Avg daily volume (2M, shrs)	646,251
52-week high/low (won)	318,500 / 58,000
Foreign ownership (%)	19.18%
Dividend yield (%)	0.65%
Major shareholders	LS Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	11.4	(0.5)	275.0
Relative	7.3	15.5	91.7
Abs (US$)	11.9	13.4	290.7

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,738	42.9	10.2	1,662	4.5
OP	208	106.2	16.4	189	10.0
Pre-tax net profit	218	138.5	39.0	183	19.2
Net profit, CI	177	166.5	49.3	143	24.2
OPM (%)	12.0	+3.7 %pt	+0.7 %pt	11.4	+0.6 %pt
NPM (%)	10.2	+4.7 %pt	+2.7 %pt	8.6	+1.6 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	4,552	4,966	6,611	8,556
OP	390	426	740	1,155
Net profit, CI	239	287	578	902
P/E (x)	18.3	30.5	56.4	36.2
P/B (x)	2.4	4.2	12.7	9.6
EV/EBITDA (x)	10.2	17.0	38.1	25.6
ROE (%)	13.4	14.7	25.0	30.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

LS Electric: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2024	2025	2026E	2027E
Sales	**1,032.1**	**1,193.0**	**1,216.3**	**1,524.4**	**1,376.6**	**1,577.0**	**1,737.8**	**1,919.3**	**4,965.8**	**6,610.6**	**8,556.3**	**1,032.1**
Electric	**661.3**	**812.3**	**736.7**	**918.9**	**958.4**	**1,091.5**	**1,235.9**	**1,287.3**	**3,129.2**	**4,573.1**	**6,188.0**	**661.3**
1) Distribution equip	231.2	241.4	232.4	242.3	267.7	291.6	309.9	318.0	947.2	1,187.3	1,442.3	231.2
2) Power infrastructure	373.0	506.0	458.7	573.1	643.2	725.2	884.9	870.9	1,910.8	3,124.3	4,510.3	373.0
Switchgear	198.6	288.3	246.4	301.0	356.3	419.3	543.4	491.6	1,034.3	1,810.6	2,674.5	198.6
Transformer	133.1	173.3	168.9	196.5	237.4	238.8	273.9	277.1	671.8	1,027.2	1,482.0	133.1
UHV	89.6	82.7	88.7	120.3	164.2	158.1	186.3	193.8	381.3	702.4	1,040.3	89.6
Distribution	43.5	90.6	80.2	76.2	73.2	80.7	87.6	83.3	290.5	324.8	441.8	43.5
Others	41.3	44.4	43.4	75.6	49.5	67.1	67.6	102.2	204.7	286.4	353.7	41.3
3) Renewable	57.1	64.9	45.7	103.5	47.5	74.7	41.1	98.3	271.2	261.6	235.4	57.1
Automation	**76.9**	**86.3**	**87.9**	**82.4**	**82.1**	**97.9**	**90.5**	**86.5**	**333.5**	**357.1**	**378.5**	**76.9**
Subsidiaries and cons adj	**293.9**	**294.4**	**391.7**	**519.5**	**336.0**	**387.6**	**411.3**	**545.5**	**1,499.5**	**1,680.4**	**1,989.8**	**293.9**
% YoY	***-0.6%***	***5.4%***	***19.1%***	***12.1%***	***33.4%***	***32.2%***	***42.9%***	***25.9%***	***9.1%***	***33.1%***	***29.4%***	***-0.6%***
Electric	***0.0%***	***14.5%***	***15.1%***	***21.8%***	***44.9%***	***34.4%***	***67.8%***	***40.1%***	***13.2%***	***46.1%***	***35.3%***	***0.0%***
1) Distribution equip.	*-4.0%*	*3.7%*	*5.9%*	*15.2%*	*15.8%*	*20.8%*	*33.4%*	*31.3%*	*4.9%*	*25.3%*	*21.5%*	*-4.0%*
2) Power infrastructure	*8.9%*	*32.0%*	*27.2%*	*34.2%*	*72.4%*	*43.3%*	*92.9%*	*52.0%*	*26.2%*	*63.5%*	*44.4%*	*8.9%*
Switchgear	*26.9%*	*23.7%*	*16.1%*	*37.8%*	*79.4%*	*45.4%*	*120.5%*	*63.3%*	*26.1%*	*75.1%*	*47.7%*	*26.9%*
Transformer	*13.1%*	*44.4%*	*39.5%*	*23.6%*	*78.4%*	*37.8%*	*62.2%*	*41.0%*	*29.7%*	*52.9%*	*44.3%*	*13.1%*
UHV	*30.6%*	*-1.1%*	*3.4%*	*-3.8%*	*83.3%*	*91.2%*	*110.0%*	*61.1%*	*5.0%*	*84.2%*	*48.1%*	*30.6%*
Distribution	*-11.4%*	*148.9%*	*127.2%*	*124.8%*	*68.3%*	*-10.9%*	*9.3%*	*9.3%*	*87.8%*	*11.8%*	*36.0%*	*-11.4%*
Others	*-39.6%*	*46.3%*	*59.5%*	*52.2%*	*19.9%*	*51.1%*	*56.0%*	*35.2%*	*16.6%*	*40.0%*	*23.5%*	*-39.6%*
3) Renewable	*-26.7%*	*-30.3%*	*-23.9%*	*-11.4%*	*-16.9%*	*15.0%*	*-10.0%*	*-5.0%*	*-22.1%*	*-3.6%*	*-10.0%*	*-26.7%*
Automation	***-13.3%***	***-12.8%***	***13.5%***	***5.2%***	***6.8%***	***13.4%***	***3.0%***	***5.0%***	***-2.9%***	***7.1%***	***6.0%***	***-13.3%***
Subsidiaries and cons adj	***1.8%***	***-9.2%***	***29.0%***	***-1.4%***	***14.3%***	***31.7%***	***5.0%***	***5.0%***	***3.9%***	***12.1%***	***18.4%***	***1.8%***
% in sales	**87.3**	**108.6**	**100.8**	**129.7**	**126.6**	**178.5**	**207.8**	**226.6**	**426.4**	**739.5**	**1,155.5**	**87.3**
Electric	**71.0**	**91.1**	**73.9**	**116.7**	**105.6**	**137.4**	**176.6**	**181.2**	**352.7**	**600.8**	**967.4**	**71.0**
1) Distribution equip	46.3	44.4	40.4	45.8	36.5	45.5	58.9	60.0	176.9	200.8	291.8	46.3
2) Power infrastructure	31.0	55.7	45.0	70.5	78.1	92.7	119.6	120.3	202.1	410.6	682.7	31.0
Switchgear	-6.3	-9.0	-11.5	0.5	-8.9	-0.8	-1.8	1.0	-26.4	-10.6	-7.1	-6.3
Transformer	**3.4**	**4.5**	**2.4**	**-0.7**	**2.7**	**9.4**	**4.5**	**1.7**	**9.6**	**18.4**	**18.9**	**3.4**
UHV	**13.0**	**13.0**	**24.5**	**14.2**	**18.3**	**31.8**	**26.7**	**43.6**	**64.7**	**120.5**	**169.1**	**13.0**
Distribution	***-6.9%***	***-0.9%***	***51.7%***	***8.2%***	***45.0%***	***64.4%***	***106.2%***	***74.7%***	***9.4%***	***73.4%***	***56.2%***	***-6.9%***
Others	***-6.2%***	***-15.0%***	***37.5%***	***55.0%***	***48.8%***	***50.8%***	***138.9%***	***55.3%***	***13.1%***	***70.4%***	***61.0%***	***-6.2%***
3) Renewable	*-21.2%*	*-14.5%*	*4.5%*	*39.0%*	*-21.3%*	*2.4%*	*45.9%*	*31.0%*	*-3.0%*	*13.5%*	*45.3%*	*-21.2%*
Automation	*40.5%*	*-8.1%*	*132.0%*	*59.0%*	*152.2%*	*66.4%*	*165.6%*	*70.7%*	*38.1%*	*103.1%*	*66.3%*	*40.5%*
Subsidiaries and cons adj	*RR*	*RR*	*RR*	*TTB*	*RR*	*LN*	*-83.9%*	*106.0%*	*56.9%*	*-59.6%*	*-33.6%*	*RR*
OP	***1677.3%***	***-12.0%***	***TTB***	***LN***	***-20.2%***	***108.9%***	***88.6%***	***-347.2%***	***1097.4%***	***91.5%***	***3.1%***	***1677.3%***
Electric	***-27.6%***	***-586.9%***	***85.6%***	***-70.8%***	***41.2%***	***144.6%***	***9.1%***	***207.3%***	***-16.1%***	***86.3%***	***40.4%***	***-27.6%***
1) Distribution equip	**8.5%**	**9.1%**	**8.3%**	**8.5%**	**9.2%**	**11.3%**	**12.0%**	**11.8%**	**8.6%**	**11.2%**	**13.5%**	**8.5%**
2) Power infrastructure	**10.7%**	**11.2%**	**10.0%**	**12.7%**	**11.0%**	**12.6%**	**14.3%**	**14.1%**	**11.3%**	**13.1%**	**15.6%**	**10.7%**
3) Renewable	**4.4%**	**5.2%**	**2.7%**	**-0.8%**	**3.3%**	**9.6%**	**5.0%**	**2.0%**	**2.9%**	**5.1%**	**5.0%**	**4.4%**
Automation	**4.4%**	**4.4%**	**6.3%**	**2.7%**	**5.4%**	**8.2%**	**6.5%**	**8.0%**	**4.3%**	**7.2%**	**8.5%**	**4.4%**
Subsidiaries and cons adj	**1,032.1**	**1,193.0**	**1,216.3**	**1,524.4**	**1,376.6**	**1,577.0**	**1,737.8**	**1,919.3**	**4,965.8**	**6,610.6**	**8,556.3**	**1,032.1**
% YoY	**661.3**	**812.3**	**736.7**	**918.9**	**958.4**	**1,091.5**	**1,235.9**	**1,287.3**	**3,129.2**	**4,573.1**	**6,188.0**	**661.3**
Electric	231.2	241.4	232.4	242.3	267.7	291.6	309.9	318.0	947.2	1,187.3	1,442.3	231.2
1) Distribution equip	373.0	506.0	458.7	573.1	643.2	725.2	884.9	870.9	1,910.8	3,124.3	4,510.3	373.0
2) Power infrastructure	198.6	288.3	246.4	301.0	356.3	419.3	543.4	491.6	1,034.3	1,810.6	2,674.5	198.6
3) Renewable	133.1	173.3	168.9	196.5	237.4	238.8	273.9	277.1	671.8	1,027.2	1,482.0	133.1
Automation	89.6	82.7	88.7	120.3	164.2	158.1	186.3	193.8	381.3	702.4	1,040.3	89.6
Subsidiaries and cons adj	43.5	90.6	80.2	76.2	73.2	80.7	87.6	83.3	290.5	324.8	441.8	43.5
OPM (%)	41.3	44.4	43.4	75.6	49.5	67.1	67.6	102.2	204.7	286.4	353.7	41.3
Electric	57.1	64.9	45.7	103.5	47.5	74.7	41.1	98.3	271.2	261.6	235.4	57.1
1) Distribution equip	**76.9**	**86.3**	**87.9**	**82.4**	**82.1**	**97.9**	**90.5**	**86.5**	**333.5**	**357.1**	**378.5**	**76.9**
2) Power infrastructure	**293.9**	**294.4**	**391.7**	**519.5**	**336.0**	**387.6**	**411.3**	**545.5**	**1,499.5**	**1,680.4**	**1,989.8**	**293.9**
3) Renewable	***-0.6%***	***5.4%***	***19.1%***	***12.1%***	***33.4%***	***32.2%***	***42.9%***	***25.9%***	***9.1%***	***33.1%***	***29.4%***	***-0.6%***
Automation	***0.0%***	***14.5%***	***15.1%***	***21.8%***	***44.9%***	***34.4%***	***67.8%***	***40.1%***	***13.2%***	***46.1%***	***35.3%***	***0.0%***
Subsidiaries and cons adj	*-4.0%*	*3.7%*	*5.9%*	*15.2%*	*15.8%*	*20.8%*	*33.4%*	*31.3%*	*4.9%*	*25.3%*	*21.5%*	*-4.0%*

Note: TTR = turn to red, TTB= turn to black, LR = loss narrowed; Source: Yuanta Securities

UHV transformer peers: valuations (Wbn, $mn, JPYbn, EURmn)

		LS Electric	HD Hyundai Electric	Hyosung Heavy Ind	Sanil Electric	Iljin Electric	PWR	GEV	HUBB	Hitachi	Siemens Energy
Market cap		**32,625**	26,174	24,620	7,201	4,192	102,748	263,670	25,394	25,975	125,256
Sales	2025	**4,966**	5,969	4,080	502	2,045	28,480	38,068	5,845	10,587	39,077
	2026E	**6,611**	7,231	4,572	663	2,371	39,565	46,240	6,869	11,957	44,191
	2027E	**8,556**	9,748	5,454	885	2,522	45,746	53,029	7,525	13,007	50,589
	2028E	**10,590**	12,707	6,449	1,177	2,663	51,662	60,985	7,952	14,047	57,241
OP	2025	**426**	747	995	179	151	1,612	1,388	1,209	1,132	2,149
	2026E	**740**	1,117	1,200	249	254	2,635	4,427	1,598	1,510	5,162
	2027E	**1,155**	1,774	1,650	338	285	3,223	8,034	1,802	1,728	7,218
	2028E	**1,618**	2,641	2,077	446	314	3,821	11,429	1,934	1,996	9,407
OPM	2025	**8.6%**	12.5%	24.4%	35.6%	7.4%	5.7%	3.6%	20.7%	10.7%	5.5%
	2026E	**11.2%**	15.5%	26.3%	37.6%	10.7%	6.7%	9.6%	23.3%	12.6%	11.7%
	2027E	**13.5%**	18.2%	30.3%	38.2%	11.3%	7.0%	15.2%	23.9%	13.3%	14.3%
	2028E	**15.3%**	20.8%	32.2%	37.9%	11.8%	7.4%	18.7%	24.3%	14.2%	16.4%
Net profit, CI	2025	**287**	520	733	149	104	1,028	4,884	887	802	1,414
	2026E	**578**	710	914	213	178	2,559	7,170	1,090	983	3,837
	2027E	**902**	1,152	1,257	288	205	2,991	6,642	1,204	1,164	5,325
	2028E	**1,230**	1,978	1,659	376	250	3,558	9,285	1,314	1,345	6,857
P/E (x)	2025	**48.2**	31.9	38.1	26.6	25.0	57.3	35.9	26.3	25.8	61.0
	2026E	**56.4**	36.9	26.9	33.7	23.6	40.1	36.8	23.3	26.4	32.6
	2027E	**36.2**	22.7	19.6	25.0	20.5	34.4	39.7	21.1	22.3	23.5
	2028E	**26.5**	13.2	14.8	19.2	16.7	28.9	28.4	19.3	19.3	18.3

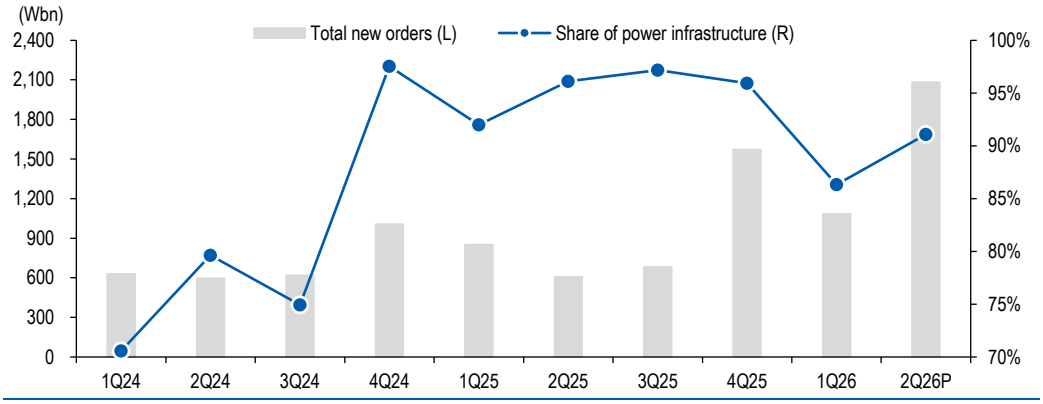
Note: market cap is as of Oct 6, 2026, CI = controlling interest
Source: Bloomberg, Yuanta Securities

Distribution equipment peers: valuations **(Wbn, $mn, EURmn, TWDmn)**

		LS Electric	Sanil Electric	Cheryong Electric	Eaton (ETN)	VERTIV (VRT)	Schneider Electric SE (SU)	ABB (ABBN)	Fortune Electric
Market cap		**32,625**	7,201	810	168,022	97,641	157,844	179,115	240,101
Sales	2025	**4,966**	502	224	27,448	10,230	40,152	33,220	24,423
	2026E	**6,611**	663	226	32,750	14,028	44,834	38,106	28,384
	2027E	**8,556**	885	-	36,422	18,287	49,393	42,673	35,012
	2028E	**10,590**	1,177	-	39,827	21,994	54,084	46,954	40,931
OP	2025	**426**	179	67	5,209	1,830	6,699	6,047	5,227
	2026E	**740**	249	78	6,336	3,305	8,108	7,497	7,129
	2027E	**1,155**	338	-	7,481	4,629	9,527	8,751	9,523
	2028E	**1,618**	446	-	8,649	5,831	10,936	10,010	11,699
OPM	2025	**8.6%**	35.6%	29.9%	19.0%	17.9%	16.7%	18.2%	21.4%
	2026E	**11.2%**	37.6%	34.5%	19.3%	23.6%	18.1%	19.7%	25.1%
	2027E	**13.5%**	38.2%	-	20.5%	25.3%	19.3%	20.5%	27.2%
	2028E	**15.3%**	37.9%	-	21.7%	26.5%	20.2%	21.3%	28.6%
Net profit, CI	2025	**287**	149	59	4,087	1,333	4,163	4,734	4,419
	2026E	**578**	213	62	5,243	2,604	5,826	6,159	6,206
	2027E	**902**	288	-	6,009	3,565	6,922	6,577	8,080
	2028E	**1,230**	376	-	6,878	4,549	8,016	7,433	9,662
P/E (x)	2025	**48.2**	26.6	9.6	28.7	44.2	31.7	29.9	65.0
	2026E	**56.4**	33.7	13.1	32.0	37.5	27.1	29.1	38.7
	2027E	**36.2**	25.0	-	28.0	27.4	22.8	27.2	29.7
	2028E	**26.5**	19.2	-	24.4	21.5	19.7	24.1	24.9

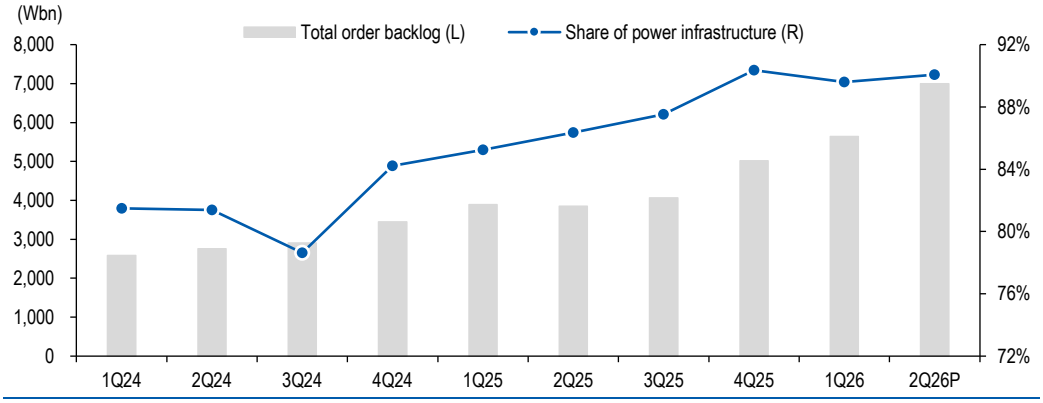
Note: market cap is as of Oct 6, 2026, CI = controlling interest
Source: Bloomberg, Yuanta Securities

LS Electric: new orders



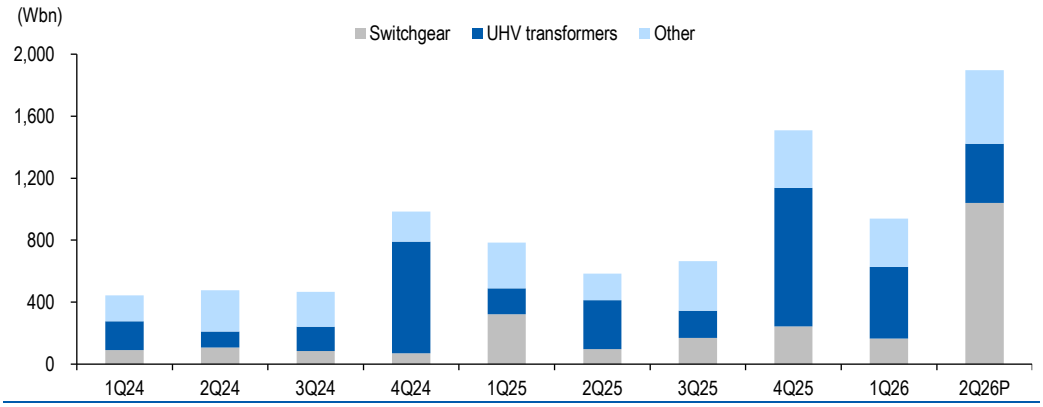
Source: company data, Yuanta Securities

LS Electric: order backlog



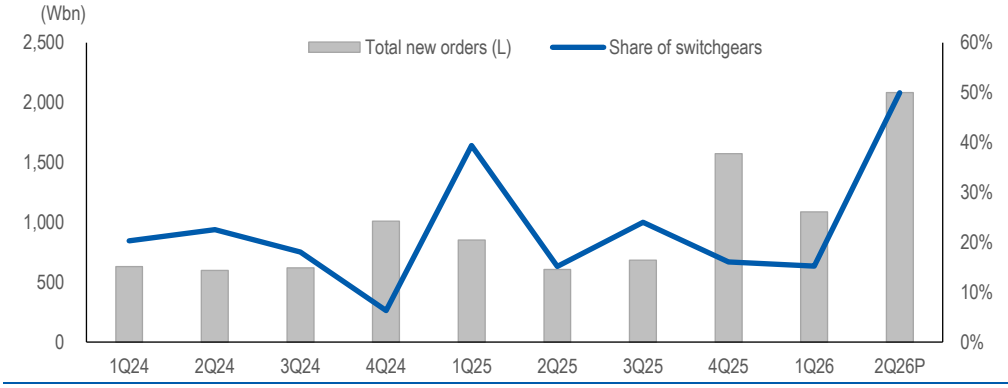
Source: company data, Yuanta Securities

LS Electric: power infrastructure new orders



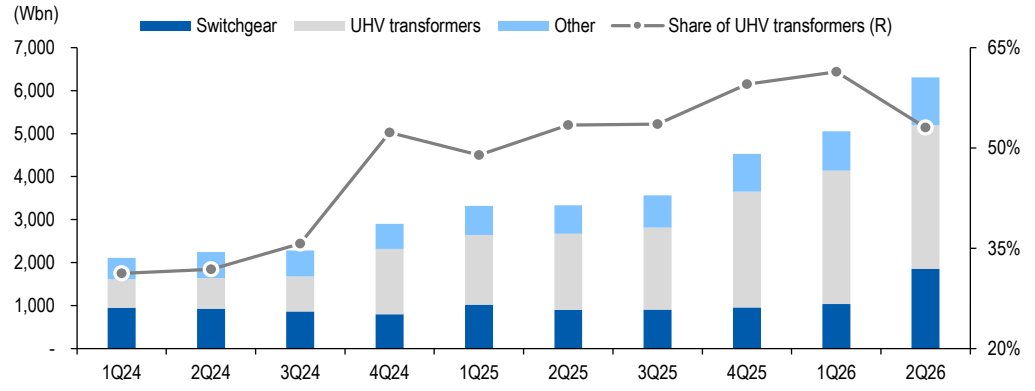
Source: company data, Yuanta Securities

LS Electric: switchgear share of new orders



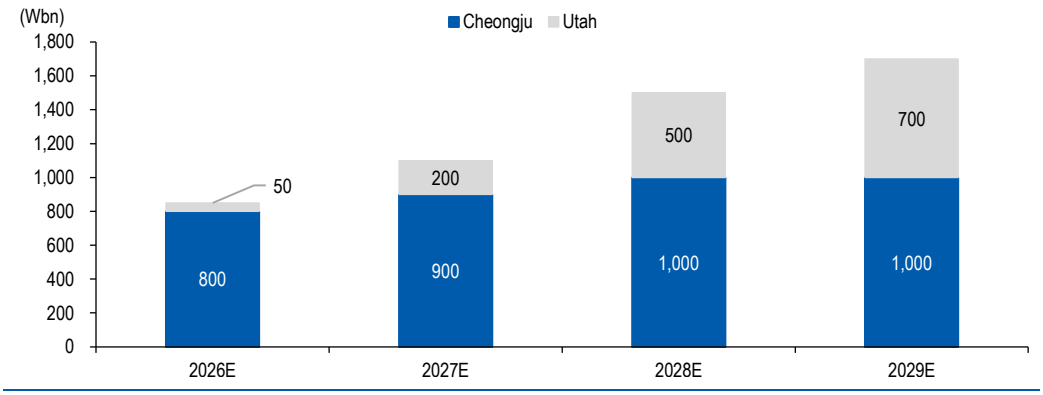
Source: company data, Yuanta Securities

LS Electric: UHV transformer share of power infrastructure order backlog



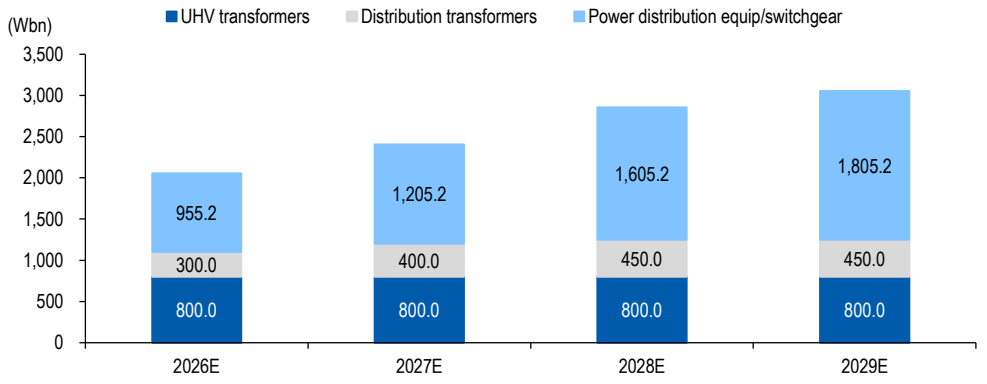
Source: company data, Yuanta Securities

LS Electric: switchgear capacity



Note: estimates adjusted for productivity
Source: company data, Yuanta Securities

LS Electric: capacity by product



Note: estimates adjusted for productivity
Source: company data, Yuanta Securities

LS Electric (010120 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**4,552**	**4,966**	**6,611**	**8,556**	**10,590**
Cost of sales	3,644	3,914	5,092	6,406	7,726
Gross profit	908	1,051	1,519	2,150	2,864
SG&A	518	625	779	995	1,246
Operating profit	**390**	**426**	**740**	**1,155**	**1,618**
EBITDA	503	559	874	1,293	1,757
Non-operating profit	-56	-16	44	82	8
Forex gains	64	-1	50	50	35
Net interest income	-22	-30	-30	-26	-16
Equity-method gains	0	0	0	0	0
Other	-98	15	23	58	-12
Net prof before income tax	333	410	783	1,238	1,626
Income tax	91	126	210	343	406
Net profit from continuing ops	242	284	573	895	1,219
Net profit from discontinued ops	0	0	0	0	0
Net profit	242	284	573	895	1,219
NP for controlling interest	**239**	**287**	**578**	**902**	**1,230**
Total comprehensive income	213	322	570	892	1,216
Total comprehensive income, CI	208	310	549	858	1,170

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,052**	**3,357**	**4,196**	**5,437**	**6,991**
Cash & cash equivalents	660	763	755	992	1,496
Accounts receivables & other	1,070	1,036	1,377	1,782	2,205
Inventory	510	553	736	953	1,179
Non-current assets	1,433	1,600	1,674	1,739	1,826
Tangible assets	861	979	1,008	1,082	1,153
Investment in affiliates	4	18	23	30	37
Other investment assets	147	205	209	214	218
Total assets	**4,485**	**4,957**	**5,870**	**7,176**	**8,817**
Current liabilities	1,846	1,865	2,285	2,781	3,301
Accounts payable & other	638	707	941	1,218	1,508
ST financial liabilities	381	302	302	302	302
Liquid LT liabilities	249	295	295	295	295
Non-current liabilities	749	951	963	978	994
LT financial liabilities	80	115	115	115	115
Debentures	489	658	658	658	658
Total liabilities	**2,595**	**2,815**	**3,248**	**3,760**	**4,294**
Equity, controlling interest	1,839	2,070	2,556	3,357	4,473
Paid-in capital	150	150	150	150	150
Capital surplus	-24	-18	-18	-18	-18
Retained earnings	1,743	1,939	2,428	3,232	4,352
Equity, non-controlling interest	51	72	67	59	49
Total equity	**1,890**	**2,141**	**2,623**	**3,416**	**4,523**
Net debt	**719**	**665**	**656**	**398**	**-127**
Total debt	1,449	1,566	1,584	1,606	1,629

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**230**	**300**	**329**	**586**	**908**
Net profit	242	284	573	895	1,219
Depreciation & amortization	102	116	122	126	129
Forex gains	-43	1	-50	-50	-35
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-225	-175	-410	-477	-496
Other	154	73	95	93	91
Investing cash flow	**-256**	**-250**	**-250**	**-248**	**-276**
Investment	-31	-36	-10	-11	-12
Increase in tangible assets	-145	-201	-150	-200	-200
Decrease in tangible assets	1	1	0	0	0
Other	-81	-13	-91	-37	-64
Financing cash flow	**82**	**59**	**-46**	**-52**	**-63**
ST financial liabilities	203	-126	19	22	23
Debenture/LT financial liabilities	133	242	0	0	0
Equity	-11	6	0	0	0
Cash dividend	-83	-87	-89	-98	-110
Other cash flow	-160	24	24	24	24
Consolidation adj and other	20	-7	-40	-49	-66
Increase in cash & equivalents	**76**	**103**	**-8**	**237**	**504**
Beginning cash & equivalents	584	660	763	755	992
Ending cash & equivalents	660	763	755	992	1,496
NOPLAT	390	426	**740**	**1,155**	**1,618**
FCF	**85**	**99**	**179**	**386**	**708**

Valuation

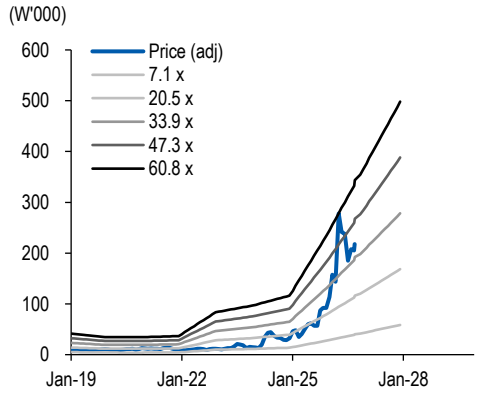
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,591	1,911	3,855	6,016	8,197
BPS (won)	12,382	13,920	17,174	22,557	30,059
EBITDA/shr (won)	3,357	3,725	5,830	8,618	11,715
SPS (won)	30,346	33,105	44,070	57,042	70,598
DPS (won)	580	600	660	740	820
P/E (x)	**18.3**	**30.5**	**56.4**	**36.2**	**26.5**
P/B (x)	**2.4**	**4.2**	**12.7**	**9.6**	**7.2**
EV/EBITDA (x)	**10.2**	**17.0**	**38.1**	**25.6**	**18.5**
P/S (x)	**1.0**	**1.8**	**4.9**	**3.8**	**3.1**

Key financial data

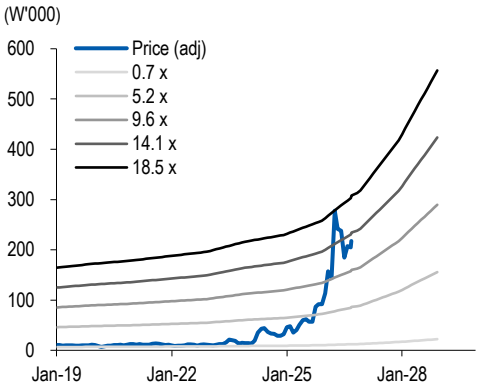
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**7.6**	**9.1**	**33.1**	**29.4**	**23.8**
Operating profit (%YoY)	**20.0**	**9.4**	**73.4**	**56.2**	**40.0**
Net profit, CI (%YoY)	**15.9**	**20.1**	**101.8**	**56.1**	**36.3**
Gross margin (%)	19.9	21.2	23.0	25.1	27.0
Operating margin (%)	**8.6**	**8.6**	**11.2**	**13.5**	**15.3**
Net margin, CI (%)	5.2	5.8	8.7	10.5	11.6
EBITDA margin (%)	11.1	11.3	13.2	15.1	16.6
ROIC (%)	14.2	12.7	20.7	26.8	32.9
ROA (%)	5.8	6.1	10.7	13.8	15.4
ROE (%)	**13.4**	**14.7**	**25.0**	**30.5**	**31.4**
Debt-to-equity (%)	137.3	131.5	123.8	110.0	95.0
Net debt-to-equity (%)	39.1	32.1	25.7	11.9	-2.8
OP/financing cost (x)	8.9	8.2	13.6	20.9	28.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

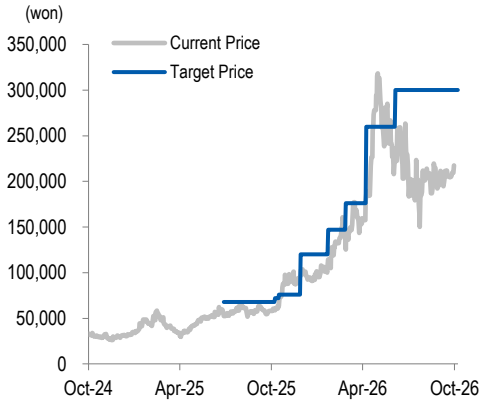
P/E band chart



P/B band chart



LS Electric (010120 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/07	BUY	300,000	1 yr		
2026/06/11	BUY	300,000	1 yr		
2026/04/14	BUY	260,000	1 yr	-3.79	22.50
2026/03/04	BUY	176,000	1 yr	-11.19	1.82
2026/01/28	BUY	147,000	1 yr	-9.61	9.25
2025/12/04	BUY	120,000	1 yr	-17.45	-10.17
2025/10/22	BUY	76,000	1 yr	18.45	33.16
2025/10/14	BUY	72,000	1 yr	-14.28	-11.25
2025/07/04	BUY	68,000	1 yr	-14.46	-3.24

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 07, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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